

Supplier Management and Performance Policy

Supplier Onboarding, Scoring Framework, Risk Classification & Suspension Protocols

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1. Purpose & Objectives

This policy establishes formal standards for onboarding, evaluating, categorizing, scoring, and managing risk for all hardware manufacturers, OEM suppliers, and component vendors supplying SupplySense Electronics.

2. Supplier Performance Scoring Framework

Supplier performance is evaluated monthly on a 100-point composite scoring model across 5 key performance indicators (KPIs):

Evaluation Metric	Weightage	Measurement Criteria	Target Threshold
Delivery Performance	30%	On-Time In-Full (OTIF) Delivery %	≥ 95% On-Time
Quality Performance	30%	Defect Rate % (Rejections at Receiving)	≤ 1.0% Defect Rate
Lead Time Reliability	20%	Actual Lead Time vs Agreed Lead Time (Days)	Variance ≤ 2 Days
Commercial Competitiveness	10%	Price stability, volume discounts, rebates	Competitive market pricing
Compliance & ESG	10%	Regulatory compliance, statutory filing, SLA adherence	100% SLA Compliance

3. Supplier Risk Level Classification

Based on the monthly composite performance score and operational history, suppliers are classified into four risk categories:

Risk Level	Composite Score	Defect / Delay Thresholds	Operational Action Required
Low Risk	85 – 100	Defect < 1%, OTIF ≥ 95%	Preferred Supplier; eligible for multi-year contracts
Medium Risk	70 – 84	Defect 1-3%, OTIF 85-94%	Standard Monitoring; quarterly performance review
High Risk	50 – 69	Defect 3-5%, OTIF 70-84%, or repeated delays	Mandatory Corrective Action Plan (CAP); 30-day review

Critical Risk	< 50	Defect > 5%, OTIF < 70%, or major breach	Immediate PO Freeze; initiation of supplier replacement
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4. Supplier Escalation & Suspension Protocol

4.1 Corrective Action Plan (CAP): High Risk suppliers must submit a binding CAP within 7 working days detailing root cause analysis and resolution milestones.

4.2 Supplier Suspension: Suppliers failing to improve score above 70 within 60 days of CAP issuance are suspended from new PO placement.

4.3 Backup Supplier Activation: For critical product lines (Laptops, Smartwatches), Procurement must maintain at least one dual-sourced Secondary Supplier.